hopefully be remedied as increasingly micro and small firms register under the GST framework.[39]

An article by Neelkanth Misra,[40] of Credit Suisse, shares a perspective on the contribution of the informal sector to India's GDP.

> …ninety per cent workforce is engaged in the informal economy (that is, not in companies). About half of India's GDP is informal (that is, not generated by incorporated enterprises) among the highest ratios in the world… Productivity growth has been the most dramatic in the informal side of the economy… But this doesn't show up in the current GDP statistics because we don't measure it.

The Report by the Committee on Unorganized Sector Statistics re-emphasizes the fact that the informal economy makes a considerable contribution to the economy. In addition to generating jobs (albeit low-paying jobs), this report estimates that the *informal sector produces up to two-thirds of the country's GDP*. In addition, the formal economy benefits from the informal economy, becoming more cost competitive through subcontracting and sourcing of cheaper products and services.

Data from the National Sample Survey Office (NSSO)[41] validates the contribution of the informal sector to employment generation. The NSSO 2011–12 estimates that *84.7 per cent of the 473 million jobs in the Indian economy are in the informal or unorganized sector*. The India Labour Market Update (2016) by ILO estimates that over 90 per cent of the employment in the agricultural sector and 70 per cent in the non-agricultural sector (mainly in manufacturing, construction and trade), are informal.

Thus, by any estimate, it is clear that the informal sector provides employment to most of India. More than 400 million workers and their families depend on the informal sector. The problem is that these workers have low wages, little job security, and few of the protections guaranteed to workers under different labour laws in the formal sector.

While demonetization struck at the heart of the informal economy, it did nothing to create a larger and cleaner GDP. Instead of making